

Title Report - Attorney - commitment should work - 2

ATTORNEY MEMORANDUM

Title Commitment Analysis and Legal Review

TO: File
FROM: Title Counsel
RE: Title Commitment 01-26006219-01T - 675 Bunker Hill Road, Columbia, MS 39429-7832
DATE: [Current Date]
COMMITMENT DATE: January 16, 2026 at 7:00 a.m.
READINESS SCORE: 67/100 - NOT READY FOR CLOSING

I. EXECUTIVE SUMMARY

Title Commitment 01-26006219-01T is not ready for closing and cannot proceed to policy issuance without immediate resolution of critical defects. The commitment presents three material title defects that create an uninsurable condition:

- 1. CRITICAL: Chain of title break due to incorrect grantee in recorded deed
- 2. HIGH: Unresolved LLC authority and seller identity discrepancy
- 3. HIGH: Duplicate and overlapping mineral interest exceptions requiring consolidation

Closing cannot proceed until Requirement 4 is satisfied with a corrected deed naming the proper grantee, and all LLC organizational documentation is submitted and approved.

II. PROPERTY INFORMATION

Item	Details
Property Address	675 Bunker Hill Road, Columbia, MS 39429-7832
County	Marion County, Mississippi
Parcel Number	074-04-000-04-005
Total Acreage	88.00 acres
Estate/Interest	Fee Simple
Assessed Value	\$9,030.00 (Land only)
Total Property Value	\$60,190.00 (Land: \$26,180; Improvements: \$34,010)

Legal Description Summary

The property comprises three parcels in Marion County, Mississippi:

- Parcel 1: NE1/4 of SE1/4 of Section 4, TSN, R18W
- Parcel 2: SE1/4 of NE1/4 of Section 4, TSN, R18W (less 2 acres)
- Parcel 3: 13.98 acres in NE1/4 of NE1/4 of Section 4, TSN, R18W

III. PARTIES TO THE TRANSACTION

Current Vested Owner

- GARNER TREE FARM, LLC - A Mississippi Limited Liability Company
- Members (4):
- Ricky Lane McPhail
- Terri Garner Crawley
- Patsy Garner Brewton
- Karen Garner Delancey

Seller of Record

- TERRI G. CRAWLEY - Listed as individual seller

Proposed Buyer/Owner

- KYLA B. FORTENBERRY - Proposed Insured (Owner's Policy)

Proposed Lender

- SOCIETY MORTGAGE, ITS SUCCESSORS AND/OR ITS ASSIGNS - Proposed Insured (Loan Policy)
- Loan Amount: \$80,808.00
- Loan ID: MS-26-1226

Title Insurance Underwriter

- Old Republic National Title Insurance Company
- Registry ID: 1013817
- Office: 1200 E. Market Street, Suite 751, Akron, OH 44305-4024

IV. INSURANCE COMMITMENT DETAILS

Item Details
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Commitment Number 01-26006219-01T
Commitment Date January 16, 2026 at 7:00 a.m.

| Owner's Policy Amount | \$80,000.00 (2021 ALTA Owner's Policy) |

| Loan Policy Amount | \$80,808.00 (2021 ALTA Loan Policy) |

| Policy Type | Fee Simple |

V. CRITICAL DEFECTS AND REQUIREMENTS STATUS

A. REQUIREMENT 4: CHAIN OF TITLE BREAK - WRONG GRANTEE [CRITICAL]

Status: ? NOT SATISFIED - CRITICAL DEFECT

The Problem

Requirement 4 mandates:

> "Record satisfactory executed Deed from GARNER TREE FARM, LLC, grantor(s) to KYLA B. FORTENBERRY, grantee(s), conveying caption premises in MARION county records"

However, the recorded deed (Instrument #20260174, recorded January 13, 2026) conveys the property to:

- Christopher Lane Thornhill and Sara E. Jackson

NOT to KYLA B. FORTENBERRY as required.

Legal Consequences

This constitutes a complete failure to satisfy Requirement 4 and creates an uninsurable chain of title defect that will:

1. Prevent issuance of the owner's policy to KYLA B. FORTENBERRY - The title company cannot insure title to a buyer who is not the grantee in the recorded deed
2. Create a title break - There is no recorded conveyance from Christopher Lane Thornhill and Sara E. Jackson to KYLA B. FORTENBERRY
3. Render the transaction void - Without proper chain of title, KYLA B. FORTENBERRY has no legal interest in the property
4. Expose all parties to liability - The lender (Society Mortgage) cannot take a valid security interest in property where the borrower does not hold clear title

Required Corrective Action

A corrected and properly executed warranty deed must be recorded immediately conveying the property from GARNER TREE FARM, LLC directly to KYLA B. FORTENBERRY. This deed must:

- Name GARNER TREE FARM, LLC as grantor
- Name KYLA B. FORTENBERRY as sole grantee
- Include proper legal description of all three parcels
- Include mineral reservation language: "LESS AND EXCEPT all oil, gas, and other minerals in, on, and under all of the lands herein conveyed"
- Be executed by authorized LLC representative(s)

- Be recorded in Marion County records with recording confirmation provided to title company

This is a prerequisite to closing. Closing cannot proceed without this corrected deed.

B. REQUIREMENT 1 & 6: LLC AUTHORITY AND SELLER IDENTITY DISCREPANCY [HIGH]

Status: ?? PARTIALLY SATISFIED - REQUIRES DOCUMENTATION

The Problem

The commitment reveals a fundamental discrepancy:

Item	Details
Vested Owner (Title Records)	GARNER TREE FARM, LLC
Seller (Transaction Documents)	TERRI G. CRAWLEY (Individual)
Proposed Buyer	KYLA B. FORTENBERRY

Legal Issues

1. Lack of Authority Documentation - No evidence has been provided that:
 - GARNER TREE FARM, LLC's operating agreement authorizes the sale
 - All four LLC members consent to the transaction
 - The LLC is in good standing with the Mississippi Secretary of State
 - Terri G. Crawley has authority to execute documents on behalf of the LLC
2. Potential Breach of Fiduciary Duty - If Terri G. Crawley is acting as an individual seller rather than as an LLC member/manager, she may be:
 - Breaching her fiduciary duty to other LLC members
 - Exceeding her authority
 - Creating personal liability
3. Voidability of Transaction - Without proper LLC authorization, the transaction may be voidable by:
 - Other LLC members
 - The LLC itself
 - Creditors of the LLC

Requirement 6 Mandates

The commitment explicitly requires submission of:

> "(a) Copy of operating agreement and amendments or certification of none; (b) Evidence LLC is in good standing; (c) Resolution signed by all members authorizing transaction; (d) Other requirements following review of organizational documents"

None of these documents have been provided.

Required Corrective Action

Before closing, the following LLC documentation must be submitted and approved:

1. Operating Agreement - Complete copy including all amendments, or certification that no operating agreement exists
2. Good Standing Certificate - Current certificate from Mississippi Secretary of State confirming GARNER TREE FARM, LLC is in good standing
3. Member Authorization Resolution - Resolution signed by all four members authorizing:
 - The sale of the property to KYLA B. FORTENBERRY
 - The conveyance by GARNER TREE FARM, LLC (not by individual members)
 - The mineral reservation
 - Any other material terms
4. Manager/Member Certification - Identification of who has authority to execute the deed and other transaction documents
5. Clarification Letter - Explanation of why Terri G. Crawley is listed as "seller" when GARNER TREE FARM, LLC is the vested owner

All four LLC members are:

- Ricky Lane McPhail
- Terri Garner Crawley
- Patsy Garner Brewton
- Karen Garner Delancey

C. REQUIREMENT 5: DEED OF TRUST RECORDING [HIGH]

Status: ? PENDING - MUST BE RECORDED BEFORE CLOSING

The Requirement

Requirement 5 mandates:

> "Record satisfactory executed Deed of Trust from KYLA B. FORTENBERRY as Trustor, in favor of SOCIETY MORTGAGE, as Beneficiary, securing an original principal balance of \$80,808.00"

Current Status

The deed of trust has not yet been recorded in Marion County records. This is a standard requirement that must be satisfied before policy issuance.

Required Corrective Action

- Deed of Trust must be executed by KYLA B. FORTENBERRY (Trustor)
- Beneficiary: SOCIETY MORTGAGE, ITS SUCCESSORS AND/OR ITS ASSIGNS
- Principal balance: \$80,808.00
- Must be recorded in Marion County records
- Recording confirmation must be provided to title company

Note: This requirement is routine and should be satisfied at closing through the escrow process.

D. REQUIREMENT 2: OPEN DEED OF TRUST VERIFICATION [SATISFIED]

Status: ? SATISFIED

No open deed of trust was found in Marion County records for GARNER TREE FARM, LLC. Verification has been completed through inquiry of escrow personnel and proposed insured.

E. REQUIREMENT 3: BANKRUPTCY SEARCH [SATISFIED]

Status: ? SATISFIED

No bankruptcy proceedings were found for:

- GARNER TREE FARM, LLC
- TERRI G. CRAWLEY
- KYLA B. FORTENBERRY

F. TAX AND ASSESSMENT STATUS [SATISFIED]

Status: ? CURRENT

Item Details	
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Parcel Number	074-04-000-04-005
2025 1st Installment	\$1,132.52 (PAID)
Delinquent Amount	\$0.00
Assessed Land Value	\$9,030.00
Assessed Building Value	\$0.00
Total Assessed Value	\$9,030.00

All current taxes are paid and no delinquent amounts exist.

VI. EXCEPTIONS ANALYSIS

Overview

The commitment contains 12 exceptions. Most are standard title insurance exceptions. However, Exceptions 1 and 8

present a material issue requiring consolidation.

Standard Exceptions (Acceptable)

Exception 2: Defects Appearing After Commitment Date

Standard exception covering defects arising between commitment date and satisfaction of all Schedule B requirements.

Status: Acceptable

Exception 3: Survey Exceptions

Standard exception for facts that would be disclosed by comprehensive survey. Status: Acceptable - Recommend obtaining survey if not already completed.

Exception 4: Rights of Parties in Possession

Standard exception for rights or claims of parties in possession. Status: Acceptable

Exception 5: Mechanics' and Contractors' Liens

Standard exception for mechanics', contractors', or material men's liens where no notice appears of record. Status: Acceptable

Exception 6: Changes in Title After Commitment Date

Standard exception for changes in title between commitment date and policy issuance. Status: Acceptable

Exception 7: Taxes and Special Assessments

Standard exception for current and subsequent year taxes and special assessments. Status: Acceptable - Current taxes are paid (see Section V.F above).

Recorded Easements (Acceptable with Verification)

Exception 9: VYVX, INC. Easement

- Grantor: Betty Carolyn G. McPhail
- Grantee: VYVX, INC.
- Date: March 31, 1997
- Recorded: June 9, 1997, Book 1224, Page 57
- Type: Right of Way and Easement Agreement

Status: Acceptable - Easement is of record and predates current ownership. Buyer should be advised of easement rights.

Exception 10: Bunker Hill Water Association Easement (2009)

- Grantor: GARNER TREE FARM, LLC
- Grantee: BUNKER HILL WATER ASSOCIATION
- Date: August 19, 2009
- Recorded: July 21, 2010, Instrument No. 201002482, Book 1638, Page 98
- Type: Water Line Easement

Status: Acceptable - Easement granted by current owner and is standard for water utility access.

Exception 11: Bunker Hill Water Association Easement (2023)

- Grantor: GARNER TREE FARM, LLC
- Grantee: BUNKER HILL WATER ASSOCIATION
- Date: April 6, 2023
- Recorded: April 10, 2023, Instrument No. 20230965, Book 2023, Page 965
- Type: Deed of Easement

Status: Acceptable - Recent easement granted by current owner. Appears to be renewal or clarification of 2009 easement.

Note: Exceptions 10 and 11 relate to the same utility (Bunker Hill Water Association) and may represent duplicate or overlapping easements. Recommend clarification from grantor regarding whether both easements are necessary or if one supersedes the other.

CRITICAL ISSUE: Mineral Reservations - Duplicate Exceptions [HIGH PRIORITY]

Exception 1: Mineral Reservations

> "Any prior reservation or conveyance of minerals of every kind and character, including oil, gas, sand and gravel in, on and under the Land"

Exception 8: Oil, Gas, Coal and Mineral Interests

> "Oil, gas, coal and other mineral interests together with the rights appurtenant thereto whether created by deed, lease, grant, reservation, severance, sufferance or exception"

The Problem

Exceptions 1 and 8 are substantially duplicative and create ambiguity regarding:

1. What minerals are actually reserved - Both exceptions reference mineral interests but use different language
2. Scope of reservation - Exception 1 specifies "oil, gas, sand and gravel"; Exception 8 adds "coal"
3. Rights appurtenant - Exception 8 references "rights appurtenant thereto" but Exception 1 does not
4. Buyer's understanding - Duplicate exceptions may confuse the buyer regarding what mineral rights are excluded from the conveyance

Confirmation from Warranty Deed

The warranty deed on page 27 of the commitment states:

> "LESS AND EXCEPT all oil, gas, and other minerals in, on, and under all of the lands herein conveyed"

This confirms that minerals are severed from the property and reserved by the grantor (or prior owner).

Legal Analysis

Under Mississippi law, a reservation of minerals in a deed creates a severed mineral estate that is separate from the

surface estate. The buyer (KYLA B. FORTENBERRY) will receive only the surface estate, not the mineral rights.

This is a material limitation on the title being conveyed and must be clearly disclosed to the buyer.

Required Corrective Action

1. Consolidate Exceptions 1 and 8 into a single, clear exception that states:

> "Oil, gas, coal, and other mineral interests in, on, and under the Land, together with all rights appurtenant thereto, whether created by deed, lease, grant, reservation, severance, sufferance, or exception, are reserved and excluded from this conveyance."

2. Provide buyer with written notice that:

- The property does not include mineral rights
- Mineral rights are reserved by the grantor or prior owner
- The buyer is acquiring